

Elliott Wave Theory

Complete Tutorial Guide

Ralph Nelson Elliott (1871-1948)

*Market behavior follows recognizable wave patterns
driven by investor psychology (fear and greed)*

Applies to: Stocks, Crypto, Forex, Commodities, Indices

Timeframes: Minutes to Centuries

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1. Introduction to Elliott Wave Theory

Elliott Wave Theory was developed by Ralph Nelson Elliott in the 1930s. After studying 75 years of stock market data, Elliott discovered that market prices unfold in specific recurring patterns he called 'waves'. These patterns reflect the collective psychology of market participants, oscillating between optimism and pessimism.

The theory is built on the premise that mass psychology moves from pessimism to optimism and back in a natural sequence, creating recognizable patterns. These patterns appear at every degree of trend, from minute tick charts to century-long movements -- a property known as self-similarity or fractality.

Unlike many technical analysis methods that are purely descriptive, Elliott Wave provides a structured framework for anticipating price movements, identifying high-probability reversal zones, and managing risk with clearly defined rules.

2. Core Principle: The Fractal Nature of Markets

The most important concept in Elliott Wave is fractality: the same wave structure repeats across all timeframes. A 5-wave impulse on a 1-minute chart has the same shape and rules as a 5-wave impulse on a weekly chart.

Each wave of a larger degree is composed of smaller waves of the next lower degree:

- An impulse wave (5 waves) at a higher degree breaks down into 5 smaller waves at the next degree
- A corrective wave (3 waves) at a higher degree breaks down into 3 smaller waves at the next degree
- This nesting continues across at least 9 degrees, from Subminuette to Grand Supercycle

Wave Degrees (Fractal Nature)

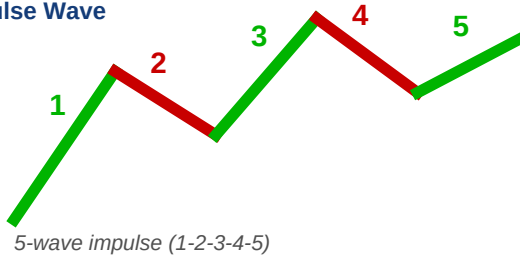
Degree	Duration	Context
Grand Supercycle	Century	Multi-century
Supercycle	40-70 years	Long-term
Cycle	1-4 years	Intermediate
Primary	Months	Medium-term
Intermediate	Weeks-Months	Short-term
Minor	Weeks	Trading
Minute	Days	Short-term trading
Minuette	Hours	Intraday
Subminuette	Minutes	Very short-term

3. The Basic Pattern: 5-Wave Impulse + 3-Wave Correction

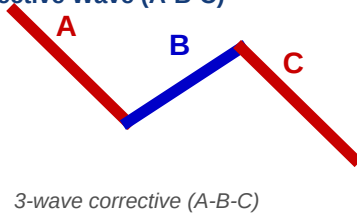
The fundamental building block consists of two phases:

- Motive phase (Impulse): 5 sub-waves in the direction of the main trend (labeled 1-2-3-4-5)
- Corrective phase: 3 sub-waves against the main trend (labeled A-B-C)

Impulse Wave



Corrective Wave (A-B-C)



Together, one complete cycle is: 5 waves up + 3 waves down = 8 waves total. This 8-wave cycle then becomes two sub-waves of the next higher degree cycle.

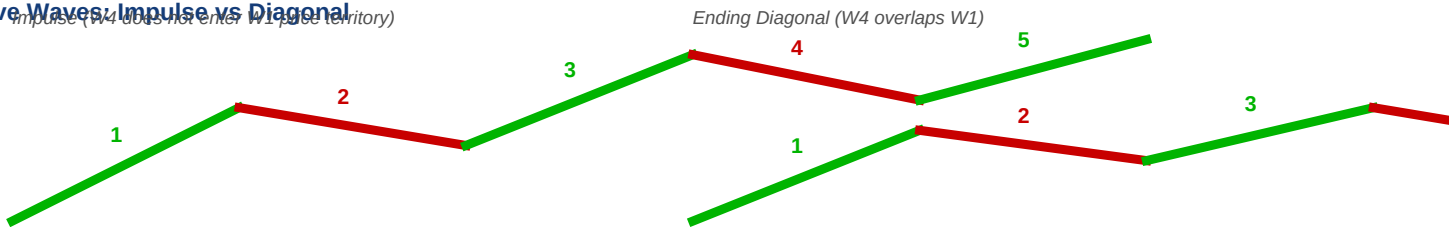
4. Motive Waves: Impulse and Diagonal

Motive waves move in the direction of the larger trend. There are two types:

4.1 Impulse Waves

This is the most common motive wave. Rules: Wave 3 is never the shortest; Wave 2 cannot retrace more than 100% of Wave 1; Wave 4 cannot overlap Wave 1. Wave 3 often shows the strongest momentum and volume. Sub-waves of an impulse are 5-3-5-3-5.

Motive Waves: Impulse vs Diagonal

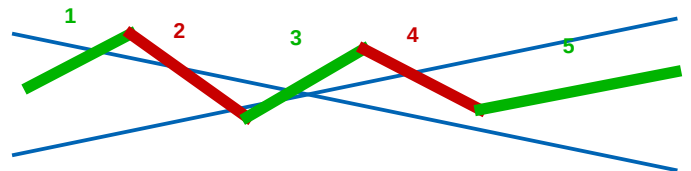
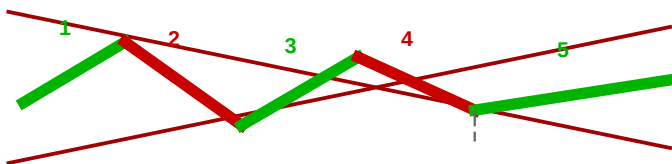


4.2 Diagonal Waves

Diagonals are motive waves that form wedge-shaped patterns. They replace impulses in specific positions and have the unique property that Wave 4 overlaps Wave 1 (which is forbidden in a standard impulse). There are two types:

Diagonal Types

Ending Diagonal (Type 1)		Leading Diagonal (Type 2)
Feature	Ending Diag.	Leading Diag.
Sub-waves: 3-3-3-3-3		Sub-waves: 5-3-5-3-5
Appears in: Wave 5 or Wave C		Appears in: Wave 1 or Wave A
Tapering wedge, W4 overlaps W1		Wedge shape, W4 may overlap W1



Structure	3-3-3-3-3	5-3-5-3-5
Position	Wave 5 or C	Wave 1 or A
W4 overlap	Always	Often
After formation	Sharp reversal	Brief pullback then trend
Volume	Declining	Declining

4.2.1 Ending Diagonal (Type 1)

Also called a 'wedge' or 'terminal pattern'. Appears exclusively in Wave 5 of an impulse or Wave C of a correction. Its internal structure is 3-3-3-3-3 (all sub-waves are corrective zigzags). The pattern converges as it progresses, with decreasing volume. After completion, the market typically reverses sharply - this is known as the 'throw-over' or 'back-test'. Key characteristics:

- Wave 1 is the longest, Wave 3 is next, Wave 5 is the shortest
- Price action forms a contracting wedge between two converging trendlines
- Wave 4 almost always overlaps Wave 1
- Volume declines throughout, often with a spike on the final leg
- Followed by a fast reversal (at least back to where the diagonal started)

4.2.2 Leading Diagonal (Type 2)

Appears in Wave 1 of an impulse or Wave A of a correction. Its internal structure is 5-3-5-3-5 - sub-waves 1, 3, and 5 are themselves impulses, while 2 and 4 are corrections. Leading diagonals often appear at the beginning of new trends after a prolonged correction. Key characteristics:

- Sub-waves 1, 3, 5 are 5-wave impulses (unlike ending diagonals)
- Wave 4 may or may not overlap Wave 1
- The post-diagonal move is a brief pullback, then the trend continues strongly
- Less common than ending diagonals

5. Corrective Waves: Zigzag, Flat, Triangle, Double Three

Corrective waves move against the larger trend. They are more varied than impulse waves and harder to identify. The main types are:

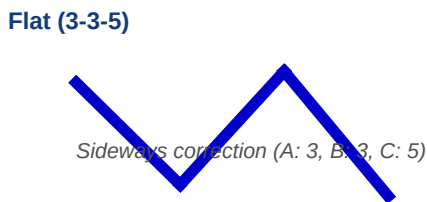
5.1 Zigzag (5-3-5)

A sharp correction that moves strongly against the prior trend. Wave A is 5 sub-waves, Wave B retraces 38-50% of A, and Wave C extends beyond A. Often found in Wave 2 of an impulse.



5.2 Flat (3-3-5)

A sideways correction where waves A and B are both 3 sub-waves. Wave B often retraces 90-100% of A. Wave C ends near or slightly beyond A. Common in Wave 4.



5.3 Triangle (3-3-3-3-3)

Triangles are sideways corrective patterns consisting of 5 sub-waves labeled A-B-C-D-E, each of which is a 3-wave structure (3-3-3-3-3). They commonly appear in Wave 4 of an impulse, Wave B of a correction, or as the final pattern in a double/triple three. Triangles indicate a period of indecision where the market contracts or expands within converging/diverging boundary lines.

Triangle Patterns

Aspect	Description
Sub-waves	Each of 5 legs (A-B-C-D-E) is a 3-wave (3-3-3-3-3)
Position	Wave 4, Wave B, Wave X, or final wave of a correction
Breakout	Sharp thrust equal to the widest part of the triangle
Volume	Declines steadily as the triangle progresses
After triangle	Usually a strong, fast move (the 'thrust') in the direction of the prior trend
Fibonacci help	Retracement of prior trend is often 38-50% at triangle's end

$A > B > C > D > E$ (most common)

$A < B < C < D < E$ (rare)

Neutral (parallel boundaries)

Triangle Rules & Characteristics:

5.3.1 Contracting Triangle (most common)

The most frequent triangle type. Each successive wave is smaller than the previous one ($A > B > C > D > E$). Boundary lines converge toward an apex. Types of contracting triangles based on boundary slopes:

- Ascending: Upper boundary flat, lower boundary rising
- Descending: Upper boundary falling, lower boundary flat
- Symmetrical: Both boundaries converging (most common)

5.3.2 Expanding Triangle (rare)

Also called a 'reverse triangle'. Each successive wave is larger ($A < B < C < D < E$). Boundary lines diverge. This pattern is rare and typically signals extreme volatility and emotional trading. It is usually followed by a relatively weak thrust.

5.3.3 Neutral Triangle

The boundary lines are parallel (one flat, one sloping or both sloping same direction). This creates a channel-like correction. It behaves similarly to a contracting triangle but is less predictable in its breakout thrust.

5.3.4 Triangle Trading Guidelines

1. The triangle must have exactly 5 waves (A-B-C-D-E). Never 3 or 7.
2. Each leg is a 3-wave pattern (zigzag, flat, or another triangle).
3. Wave E may exceed the A-C trendline (this is called a 'throwover') or fall short.
4. The breakout should occur between 75-100% of the distance to the apex.
5. The minimum price target after breakout = the widest part of the triangle (height at Wave A).
6. Volume typically declines through the triangle, then expands on the breakout.

5.4 Double and Triple Threes

When a single correction pattern is insufficient, the market forms combinations: two corrective patterns connected by an X-wave (Double Three) or three patterns connected by two X-waves (Triple Three). These are sideways, time-consuming corrections that frustrate traders.

6. Wave Degrees and Nesting

Elliott identified 9 degrees of waves, from the smallest to the largest. Each degree has its own labeling convention:

Wave Degrees (Fractal Nature)

Degree	Duration	Context
Grand Supercycle	Century	Multi-century
Supercycle	40-70 years	Long-term
Cycle	1-4 years	Intermediate
Primary	Months	Medium-term
Intermediate	Weeks-Months	Short-term
Minor	Weeks	Trading
Minute	Days	Short-term trading
Minuette	Hours	Intraday
Subminuette	Minutes	Very short-term

The practical implication: a 'Wave 1' on a daily chart might itself be a complete 5-wave impulse on an hourly chart. Always start your analysis on the higher timeframe first, then zoom in to lower timeframes for entries.

7. The Three Hard Rules

These rules are mandatory. Violating any of them means the wave count is invalid:

Three Hard Rules of Elliott Wave

Rule	Description	Violation
Rule 1	Wave 2 cannot retrace more than 100% of Wave 1	Invalid count
Rule 2	Wave 3 is never the shortest impulse wave	Invalid count
Rule 3	Wave 4 cannot overlap Wave 1's price territory	Ending diagonal only

Note: 'Wave 3 is never the shortest' means it cannot be the shortest among waves 1, 3, and 5. Waves 1 and 5 can be shorter than each other, but Wave 3 must be longer than at least one of them.

Overlap rule: Wave 4 cannot enter the price territory of Wave 1 (closing prices for daily). The only exception is in diagonal waves, where overlap is permitted.

8. Guidelines and Typical Behavior

These are not mandatory rules but probabilistic observations that improve counting accuracy:

Common Guidelines (not hard rules)

Guideline	Typical Behavior	Significance
Alternation	Wave 2 sharp, Wave 4 sideways (or vice versa)	High probability
Channeling	Waves contained within parallel lines	Confirms structure
Equality	Wave 5 is often equal to Wave 1	Extension target
Retracement	Wave 2 retraces 50-61.8% of Wave 1	Entry zone
Fibonacci	Wave 3 extends 161.8%+ of Wave 1	Strongest wave

Volume Guidelines

- Wave 3 typically has the highest volume and widest price range
- Wave 5 shows declining volume and momentum divergence
- Wave A often starts with increasing volume as the correction begins
- Wave C frequently matches Wave A in volume or shows capitulation

Wave Personality

- Wave 1: Often the most deceptive; many mistake it for a counter-trend bounce
- Wave 3: The strongest, most extended; the 'sweet spot' for traders
- Wave 5: Weaker momentum; divergences appear; final leg before a reversal
- Wave A: Initially looks like a pullback within the prior trend
- Wave B: 'The sucker's rally' -- traps bulls expecting a resumption of trend
- Wave C: Panic/despair; often equals Wave A in length

9. Fibonacci Relationships in Elliott Wave

Elliott Wave and Fibonacci ratios are deeply connected. The Fibonacci sequence (0, 1, 1, 2, 3, 5, 8, 13, 21, 34, 55...) and its key ratios (0.382, 0.500, 0.618, 0.786, 1.272, 1.618, 2.618) define the proportional relationships between waves.

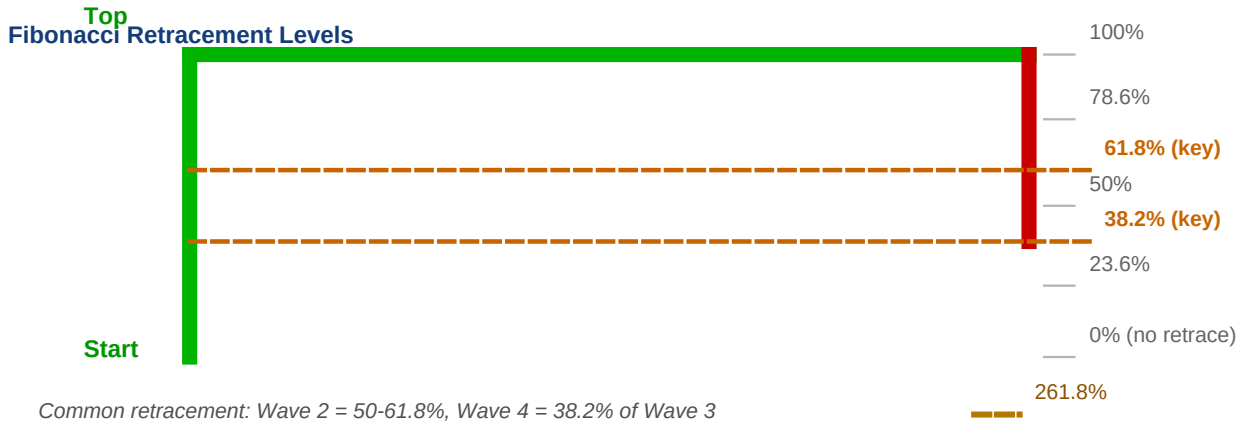
9.1 Retracement Levels

Wave 2 typically retraces 50% to 61.8% of Wave 1.

Wave 4 typically retraces 38.2% of Wave 3 (rarely more than 50%).

Wave B typically retraces 38.2% to 78.6% of Wave A.

Wave X in double/triple threes: 50% to 61.8% retracement of the preceding pattern.



9.2 Extension Levels

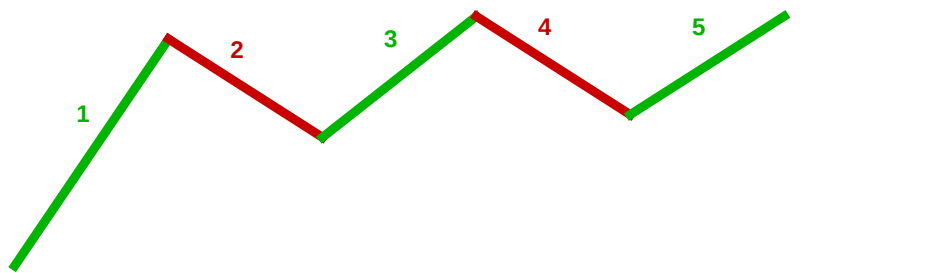
Wave 3 often extends to 161.8% to 261.8% of Wave 1.

Wave 5 is commonly 61.8% to 161.8% of the distance from Wave 1 low to Wave 3 high (net).

Wave C often equals 100% or 161.8% of Wave A.

When Wave 3 is extended, Waves 1 and 5 tend to be approximately equal.

Fibonacci Extension Targets



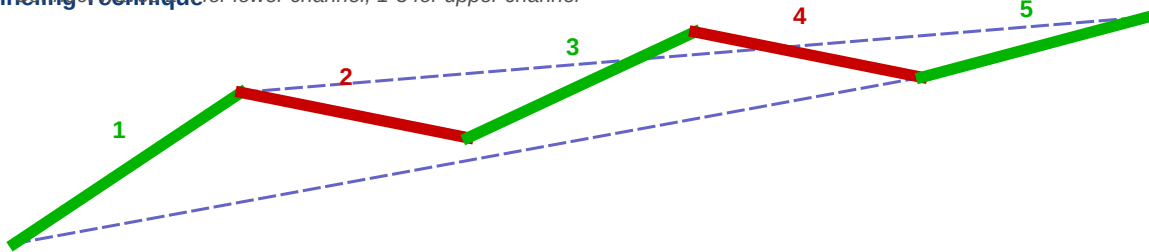
Common Wave 3 extension: 161.8% of Wave 1. Wave 5: 61.8-161.8% of Wave 1.

10. Channeling Technique

Elliott Wave channels help confirm the wave count and project price targets. To draw channels:

- In an impulse: draw a line connecting the ends of Waves 2 and 4 (lower channel line), then draw a parallel line touching the top of Wave 3 (upper channel line)
- Wave 5 often ends near the upper channel line
- If Wave 3 is exceptionally strong, draw a parallel line touching Wave 1's top instead

Channeling Technique - Connect Waves 2-4 for lower channel, 1-3 for upper channel



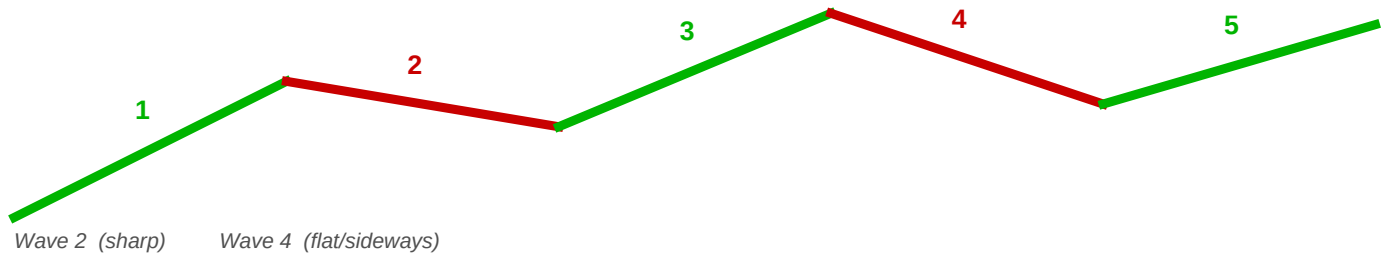
Channeling also applies to corrections: connect Waves A and C or use the trendline of the preceding impulse.

11. Rule of Alternation

The guideline of alternation states that Wave 2 and Wave 4 of an impulse will alternate in form:

- If Wave 2 is a sharp correction (zigzag), Wave 4 is likely a sideways correction (flat, triangle)
- If Wave 2 is sideways, Wave 4 is likely sharp
- Alternation also applies to corrections: if Wave A is a 5-wave zigzag, Wave B is likely a 3-wave flat

Rule of Alternation - Wave 2 vs Wave 4



Alternation is probabilistic, not deterministic. However, when both Wave 2 and Wave 4 are similar in form, it often indicates a more complex corrective structure is unfolding.

12. Common Counting Mistakes

Even experienced analysts make these errors. Avoid them:

Mistake 1: Forcing the Count

The most common mistake. If the price action doesn't clearly fit a wave structure, don't force it. Sometimes the market is in a 'complex correction' or a 'failure' (truncated 5th wave).

Mistake 2: Ignoring the Higher Timeframe

Always establish the larger trend first. A 'Wave 3' on a 15-minute chart might just be a Wave C of a larger correction on the hourly chart.

Mistake 3: Misidentifying Corrective Patterns

Corrective waves are notoriously tricky. A flat pattern (3-3-5) can look very similar to a zigzag (5-3-5). Look at the internal structure of Wave A to distinguish them.

Mistake 4: Overlapping in Impulse Waves

If Wave 4 overlaps Wave 1, it cannot be an impulse. Re-label as a diagonal or a corrective pattern.

Mistake 5: Using Only Elliott Wave

No method is 100% accurate. Combine Elliott Wave with support/resistance, volume, RSI/MACD divergences, and candlestick patterns for confirmation.

13. Practical Application Workflow

Step-by-step approach to analyzing any market:

Step 1: Higher Timeframe Analysis

Start with weekly/monthly charts to identify the dominant trend and major waves.

Step 2: Daily Chart Structure

Label the current position within the larger trend. Is this Wave 3 of a larger impulse? Wave C of a correction?

Step 3: Validate with Rules

Check the three hard rules. Measure Fibonacci retracements and extensions. Draw channels.

Step 4: Drop to Lower Timeframes

Use 4H/1H charts to see the internal structure of the current wave. Identify entry zones on Wave 2 or Wave 4 completions.

Step 5: Confluence

Look for confluence: Fibonacci levels, support/resistance, divergence on RSI/MACD, volume patterns.

Step 6: Plan the Trade

Entry: After Wave 2 completes (for Wave 3), or after Wave 4 completes (for Wave 5). Stop: Below Wave 1 low (for a Wave 3 entry) or below Wave 4 low. Target: Fibonacci extensions of the prior wave.

Step 7: Manage and Review

Monitor the count as price develops. Be willing to adjust. Keep a trading journal.

14. Advanced Concepts

14.1 Truncated Fifth (Failure)

When Wave 5 fails to exceed the high of Wave 3. This is a strong reversal signal, often seen at the end of a larger trend. It indicates that the trend has exhausted prematurely.

14.2 Extended Waves

An extension is a wave that is significantly longer than the other waves. Wave 3 is most commonly extended. When an extension occurs, the sub-waves of the extended wave have similar magnitude to the non-extended waves. Extensions suggest strong momentum and trend continuation.

14.3 Running Corrections

A correction that fails to retrace deeply before resuming the trend. For example, a running flat where Wave B makes a new high (in a bull market) and Wave C barely retraces. This signals exceptional strength.

14.4 Irregular Corrections

When Wave B exceeds the start of Wave A (making a new high in a bull correction or new low in a bear correction). These indicate strong underlying momentum in the direction of the larger trend.

14.5 Fibonacci Time Zones

Fibonacci ratios can also be applied to time. Common timing relationships:

- The time from Wave 1 start to Wave 3 end: 61.8% of total impulse time
- Wave 2 and Wave 4 often take similar amounts of time
- Corrective waves (A-B-C) often take 1.618x the time of the preceding impulse

14.6 Multiple Timeframe Analysis (MTF)

The most reliable setups occur when waves align across multiple degrees:

- Higher timeframe: clear 5-wave structure completed (e.g., weekly Wave C)
- Medium timeframe: Wave 2 or Wave 4 just completed (e.g., daily)
- Entry timeframe: sub-wave 2 of Wave 3 completed with a reversal pattern (e.g., 4H)

15. Summary Cheat Sheet

Three Hard Rules

1. Wave 2 cannot retrace more than 100% of Wave 1
2. Wave 3 is never the shortest of Waves 1, 3, and 5
3. Wave 4 cannot overlap Wave 1 price territory

Wave Labels by Degree

Grand Supercycle: [I] [II] [III] [IV] [V] + [A] [B] [C]

Supercycle: (I) (II) (III) (IV) (V) + (A) (B) (C)

Cycle: I II III IV V + A B C

Primary: [1] [2] [3] [4] [5] + [a] [b] [c]

Intermediate: (1) (2) (3) (4) (5) + (a) (b) (c)

Minor: 1 2 3 4 5 + a b c

Minute: i ii iii iv v + a b c

Fibonacci Quick Reference

Wave 2 retracement: 50-61.8% of Wave 1

Wave 3 extension: 161.8-261.8% of Wave 1

Wave 4 retracement: 38.2% (max 50%) of Wave 3

Wave 5 target: 61.8-161.8% of Wave 1 (or 0-1 channel)

Wave C: 100% or 161.8% of Wave A

Corrective Pattern Quick Guide

Zigzag (5-3-5): Sharp, steep, Wave A is 5 waves

Flat (3-3-5): Sideways, Wave A is 3 waves

Triangle (3-3-3-3-3): Contracting/expanding, 5 legs

Double Three: Two corrective patterns + X wave

Triple Three: Three corrective patterns + 2 X waves

Common Divergence Signals

Wave 3 vs Wave 5: RSI/MACD bearish divergence = trend exhaustion

Wave C vs Wave A: RSI/MACD bullish divergence = trend reversal

Trading Plan Template

Trend: [Up / Down / Sideways]

Current Wave: [1/2/3/4/5/A/B/C]

Entry Zone: [After Wave 2 complete / After Wave 4 complete]

Stop Loss: [Below Wave 1 low / Below Wave 4 low]

Target 1: [Fib extension level]

Target 2: [Channel upper line / next Fib level]

Confirmation: [Divergence / Support-Resistance / Volume]

Final Note: Elliott Wave Theory is a powerful framework, but it is not a crystal ball. Always practice proper risk management. The market is the ultimate judge of the count. When in doubt, assume the market is in a correction. Most complex corrections are

misidentified as new trends.